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Entrepreneurship Theory & Practice (GE4B-01) — 2024-2025 Sem 2

PYQ Answers

GROUP-A — Very Short Answer Type (1 Mark Each)**i. What is intrapreneurship?**

Intrapreneurship refers to the practice of entrepreneurship within an existing organization, where employees act like entrepreneurs — innovating, taking initiative, and developing new products or services.

ii. What is a business idea?

A business idea is a concept that can be used for commercial purposes, typically involving a product or service that can be offered for money. It is the starting point for any new venture.

iii. What is disruptive innovation?

Disruptive innovation is an innovation that significantly alters or displaces an existing market, industry, or technology by introducing simpler, more affordable, or more accessible alternatives (e.g., smartphones disrupting cameras and GPS devices).

iv. What are the types of innovation? Mention anyone.

Types: Product innovation, Process innovation, Market innovation, Organizational innovation.

Example: Product innovation — creating a new or improved product (e.g., electric vehicles).

v. Why is market research important?

Market research helps entrepreneurs understand customer needs, identify market trends, assess competition, reduce business risk, and make informed decisions about pricing, products, and marketing strategies.

vi. What are the methods of raising financial resources for a startup? Mention anyone.

Methods: Bootstrapping, Angel investors, Venture capital, Bank loans, Crowdfunding, Government grants.

Example: Angel investing — high net-worth individuals invest in early-stage startups in exchange for equity.

vii. Why is financial planning important in business?

Financial planning ensures that a business has enough funds to operate, helps in setting financial goals, controls expenditure, prepares for contingencies, and supports sustainable growth.

viii. Point out the role of mentor in Entrepreneurship.

A mentor guides entrepreneurs by sharing experience and knowledge, helping them avoid common mistakes, expanding their network, providing emotional support, and helping them develop skills and strategies for success.

ix. What are the types of entrepreneurs? Mention any one.

Types: Innovative, Imitative, Fabian, Drone, Social entrepreneur.

Example: Innovative entrepreneur — one who introduces new products, methods, or markets (e.g., Elon Musk).

x. Point out the sources of financing.

Sources: Personal savings, Family and friends, Bank loans, Angel investors, Venture capital, Government schemes (MUDRA, Startup India), Microfinance institutions, Crowdfunding.

xi. What is lateral thinking?

Lateral thinking is a creative problem-solving approach that involves looking at a problem from new and unexpected angles, rather than following conventional step-by-step logic. Coined by Edward de Bono.

xii. What are the three types of business?

The three types are: (1) Sole Proprietorship, (2) Partnership, (3) Corporation/Company.
Alternatively: Service, Manufacturing, and Trading businesses.

GROUP-B — Short Answer Type (5 Marks Each, Answer any 3)

Q2. Explain the Need for Achievement Theory.

The Need for Achievement (nAch) Theory was propounded by David McClelland in 1961. It states that individuals are motivated by three needs: Achievement, Affiliation, and Power.

Key points:

- People with high nAch have a strong desire to accomplish challenging goals and receive feedback on their performance.
- They prefer tasks of moderate difficulty — not too easy (no satisfaction) nor too hard (low probability of success).

- They take personal responsibility for solving problems.
- Entrepreneurs typically have high nAch as they are driven to create, innovate, and succeed.
- McClelland believed nAch can be developed through training and environmental influence.

This theory is important in entrepreneurship as it explains why certain individuals are more driven to start and grow businesses.

Q3. What are the key functions of an entrepreneur?

- **Innovation:** Introducing new products, processes, or markets.
- **Risk-taking:** Bearing financial, social, and psychological risks of the venture.
- **Decision-making:** Making critical business decisions under uncertainty.
- **Resource mobilization:** Arranging capital, labour, and raw materials efficiently.
- **Organizing:** Coordinating all factors of production to achieve business goals.
- **Leadership:** Motivating and guiding employees towards the vision.
- **Market research:** Identifying opportunities and customer needs in the market.

Q4. What are the key components of a feasibility report?

A feasibility report evaluates whether a business idea is viable. Key components:

- **Executive Summary:** Overview of the business idea.
- **Market Feasibility:** Demand analysis, target market, competition.
- **Technical Feasibility:** Technology, equipment, production process.
- **Financial Feasibility:** Cost estimates, revenue projections, break-even analysis.
- **Legal Feasibility:** Regulatory requirements, licenses, legal structure.
- **Organizational Feasibility:** Management team, human resources needed.
- **Conclusion:** Whether to proceed with the venture or not.

Q5. Explain the different types of creativity.

- **Deliberate and Cognitive:** Based on existing knowledge; requires focused thinking (e.g., Edison's experiments).
- **Deliberate and Emotional:** Based on emotional processing through relaxation and reflection.
- **Spontaneous and Cognitive:** "Aha!" moments that arise when the mind is at rest but the brain is still working in the background.
- **Spontaneous and Emotional:** Sudden creative insight driven by deep emotional states (e.g., artistic inspiration).
- **Lateral Creativity:** Thinking outside conventional patterns to find novel solutions.

Q6. Describe the legal formalities in the feasibility report.

Legal formalities in a feasibility report include:

- **Business Registration:** Choosing and registering the legal structure (Sole Proprietorship, Partnership, LLP, Pvt. Ltd.).
- **Licenses and Permits:** Trade license, FSSAI (food), GST registration, etc.
- **Intellectual Property:** Trademark, patent, copyright registration if applicable.
- **Labour Laws:** Compliance with PF, ESI, minimum wage regulations.
- **Environmental Clearances:** Required for manufacturing units.
- **Tax Registrations:** PAN, TAN, GST number.
- **Contracts and Agreements:** Supplier, employee, and investor agreements.

GROUP-C — Long Answer Type (15 Marks Each, Answer any 3)**Q7. Explain market sensing and market testing in detail. What roles they play in market research?****Market Sensing:**

Market sensing is the process of continuously gathering, interpreting, and acting on information about the market environment. It involves:

- Monitoring customer preferences and behaviour.
- Tracking competitor strategies and industry trends.
- Identifying emerging opportunities and threats early.
- Using tools like surveys, focus groups, social media listening, and sales data analysis.

Role in market research: Helps entrepreneurs stay proactive, spot gaps in the market, and align their product/service with actual demand before investing heavily.

Market Testing:

Market testing involves launching a product in a limited, controlled environment before a full-scale launch. Methods include:

- **Test marketing:** Launching in select cities or regions to gauge response.
- **Pilot testing:** Offering the product to a small sample of the target market.
- **A/B Testing:** Comparing two versions of a product or campaign to see which performs better.
- **Online beta testing:** Releasing a digital product to early adopters for feedback.

Role in market research: Reduces the risk of full-scale failure, provides real-world feedback, allows refinement of the product, pricing, and marketing strategy before mass launch.

Combined Role: Together, market sensing and testing form the foundation of informed entrepreneurial decision-making — sensing identifies what customers want, and testing validates whether the business can deliver it profitably.

Q8. Discuss types, steps and importance of creativity in Entrepreneurship.

Types of Creativity:

- Deliberate & Cognitive, Deliberate & Emotional, Spontaneous & Cognitive, Spontaneous & Emotional, Lateral thinking.

Steps in the Creative Process (Wallas Model):

1. **Preparation:** Gathering information, researching the problem thoroughly.
2. **Incubation:** Letting the mind process ideas subconsciously.
3. **Illumination:** The "Aha!" moment when a solution emerges.
4. **Verification:** Testing and refining the creative idea to make it practical.

Importance of Creativity in Entrepreneurship:

- **Innovation driver:** Creativity leads to new products, services, and business models.
- **Competitive advantage:** Creative entrepreneurs differentiate themselves in crowded markets.
- **Problem-solving:** Helps find unique solutions to business challenges.
- **Resource optimization:** Creative thinking helps do more with limited resources.
- **Market opportunity identification:** Creative entrepreneurs see possibilities others miss.
- **Adaptability:** Creativity enables businesses to pivot and adapt to changing environments.
- **Economic growth:** Creative ventures generate employment and drive economic development.

Q9. Discuss the role and importance of entrepreneurs in economic growth.

Entrepreneurs are the engines of economic growth. Their contributions include:

- **Employment generation:** New businesses create jobs, reducing unemployment.
- **Capital formation:** Entrepreneurs mobilize savings and invest in productive activities.
- **Innovation and technology:** They introduce new technologies that improve productivity across sectors.
- **GDP contribution:** Entrepreneurial activity directly increases national output and income.

- **Export promotion:** Entrepreneurs develop export-oriented businesses, earning foreign exchange.
- **Regional development:** Entrepreneurs set up industries in underdeveloped areas, reducing regional imbalances.
- **Social welfare:** CSR activities and social entrepreneurship improve community well-being.
- **Competition and efficiency:** Entrepreneurial competition drives existing firms to innovate and become more efficient.
- **Tax revenue:** Successful ventures contribute significantly to government revenues.
- **Multiplier effect:** One business stimulates demand for suppliers, distributors, and service providers.

In developing countries like India, entrepreneurship is crucial for absorbing a large labour force, reducing poverty, and achieving sustainable development goals.

Q10. Define an entrepreneur and discuss the key characteristics of successful entrepreneurs.

Definition: An entrepreneur is an individual who identifies a business opportunity, organizes resources (capital, labour, materials), takes calculated risks, and creates a new venture to generate profit and value for society.

Key Characteristics of Successful Entrepreneurs:

- **Innovation:** Constantly looking for new ideas and better ways of doing things.
- **Risk-taking ability:** Willing to take calculated risks and learn from failures.
- **Vision:** Clear long-term goal and ability to communicate it to others.
- **Passion and commitment:** Deep dedication to their work even in difficult times.
- **Decision-making:** Ability to make quick, informed decisions under uncertainty.
- **Leadership:** Inspiring and motivating a team towards a shared vision.
- **Resilience:** Bouncing back from setbacks and persisting through challenges.
- **Adaptability:** Flexibility to change strategies as market conditions evolve.
- **Networking:** Building strong relationships with customers, investors, and partners.
- **Financial literacy:** Understanding cash flow, profitability, and financial planning.
- **Customer focus:** Always prioritizing customer needs and feedback.
- **Self-confidence:** Belief in their ability to succeed despite obstacles.

Q11. Explain the concept of entrepreneurial motivation and the factors that influence it.

Entrepreneurial Motivation:

Entrepreneurial motivation refers to the internal drive, desire, and willingness that pushes an individual to start, manage, and grow a business venture. It is the force that compels a person to

take initiative, accept risks, and persist through challenges to achieve business success.

Theories of Motivation relevant to Entrepreneurship:

- McClelland's Need for Achievement (nAch)
- Maslow's Hierarchy of Needs
- Herzberg's Two-Factor Theory

Factors Influencing Entrepreneurial Motivation:

- **Personal factors:** Desire for independence, need for achievement, self-confidence, passion for an idea.
- **Financial incentives:** Desire to earn higher income and build wealth.
- **Family background:** Having entrepreneurial parents or role models increases motivation.
- **Education and skills:** Knowledge and capabilities that give confidence to start a business.
- **Market opportunity:** Spotting a gap in the market motivates action.
- **Social recognition:** Desire for status, respect, and social impact.
- **Push factors:** Job dissatisfaction, unemployment, or necessity can push people into entrepreneurship.
- **Pull factors:** Attractive opportunities, government incentives, or a strong business idea pull people toward entrepreneurship.
- **Government support:** Schemes like Startup India, MUDRA loans, and incubators motivate new entrepreneurs.
- **Cultural environment:** A society that celebrates entrepreneurship encourages more people to try it.